

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

**RESPONDENT SM LINE CORPORATION'S
REPLY BRIEF**

SM Line Corporation (“SM Line” or “Respondent”), through undersigned counsel, hereby submits its reply brief, proposed findings of fact (“RPFF”), reply to Complainant’s proposed findings of fact (“CPFF”), and appendix (“RX”).

I. SUMMARY OF ARGUMENT

SEA’s claims and arguments can be summarized as attempts to persuade the Presiding Officer that SM Line violated the Shipping Act in two ways: (1) by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property pursuant to 46 U.S.C. § 41102(c), and (2) by issuing a number of invoices that did not contain the information required by 46 USC § 41104(a)(15).

SEA correctly identifies the following as the elements the Commission requires to be shown in order to find a violation pursuant to Section 41102(c):

- (i) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (ii) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (iii) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (iv) The practice or regulation is unjust or unreasonable; and
- (v) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS East Coast*, FMC Dkt. No. 23-04, at *9-10, (FMC Aug. 16, 2023).

SM Line does not dispute being a common carrier under the definition in 46 U.S.C. § 40102. As to the other factors, however, Respondent submits that SM Line has not engaged in any action that violated the Shipping Act and, surely, that SEA has not presented sufficient evidence of any such violations. SEA's operation during the Relevant Time Period consisted of a handful of people that were tasked with arranging the delivery of up to one thousand shipments per week.¹ SEA's personnel was supposed to promptly instruct their agents, the SEA nominated land carriers, about how to move the cargo and they failed to do so within the time limits agreed upon with SM Line. SEA then did not dispute the charges paid to SM Line via SM Line's dispute resolution system. Instead, SEA waited years to dispute each and every previously accepted charge. SEA failed to meet their burden in they have not shown by preponderance of the evidence that all the charges paid to SM Line for demurrage and detention during the Relevant Time Period were unreasonable. Similarly, SEA has not shown that it is reasonably certain that SEA suffered any damages that were proximately caused by any alleged unreasonable practice or procedure employed by SM Line. Lastly, SEA and its expert, Gregory Smith, have been unable to quantify any damages actually incurred by SEA because neither

¹ Capitalized terms not otherwise defined here have the meaning assigned to them by Complainant in their Initial Brief.

SEA nor Mr. Smith engaged in a container-by-container analysis which is required under the ALJ precedent to establish both liability and the extent of damages.

II. SM LINE'S RESPONSE TO SAMSUNG'S PROPOSED FINDINGS OF FACT

SM Line's Response to SEA's Proposed Findings of Fact is attached hereto as Exhibit No. 1.

SM Line's responses are detailed and address the many misrepresentations and distortions of the facts that litter SEA's submission and are incorporated herein by reference.

III. SM LINE'S PROPOSED FINDINGS OF FACT

SM Line's Proposed Findings of Fact are attached hereto as Exhibit No. 2.

IV. ARGUMENT

1. The land leg of the SEA shipments was performed by SEA's agents

SEA contends that, due to the shipments at issue being store door deliveries, SEA had no responsibility with respect to them. According to SEA, because SEA played no role in moving the cargo, SM Line charging SEA for demurrage doesn't fulfill the financial incentive purpose towards the fluid movement of cargo.

SEA's contention is wrong both in law and fact. A consignee can be subject to the penalty element of demurrage and detention charges when those charges are issued due to reasons that are not "entirely beyond his control." *In re Free Time and Demurrage Practices on Inbound Cargo at New York Harbor*, 9 S.R.R. 860, 875 (1967) (NYII). SEA failed to show that any of the charges at issue were levied against SEA for reasons entirely beyond SEA's control. The vast majority of the SEA shipments during the Relevant Time Period was not performed under carrier haulage terms, but under an agreement that provided that SEA nominated their preferred truckers to SM Line, who in turn was obligated to use said truckers.

CPFF 21. The record shows that SEA was the party instructing the truckers and was the party primarily responsible for the actions and omissions that led to the charges being assessed against SEA.

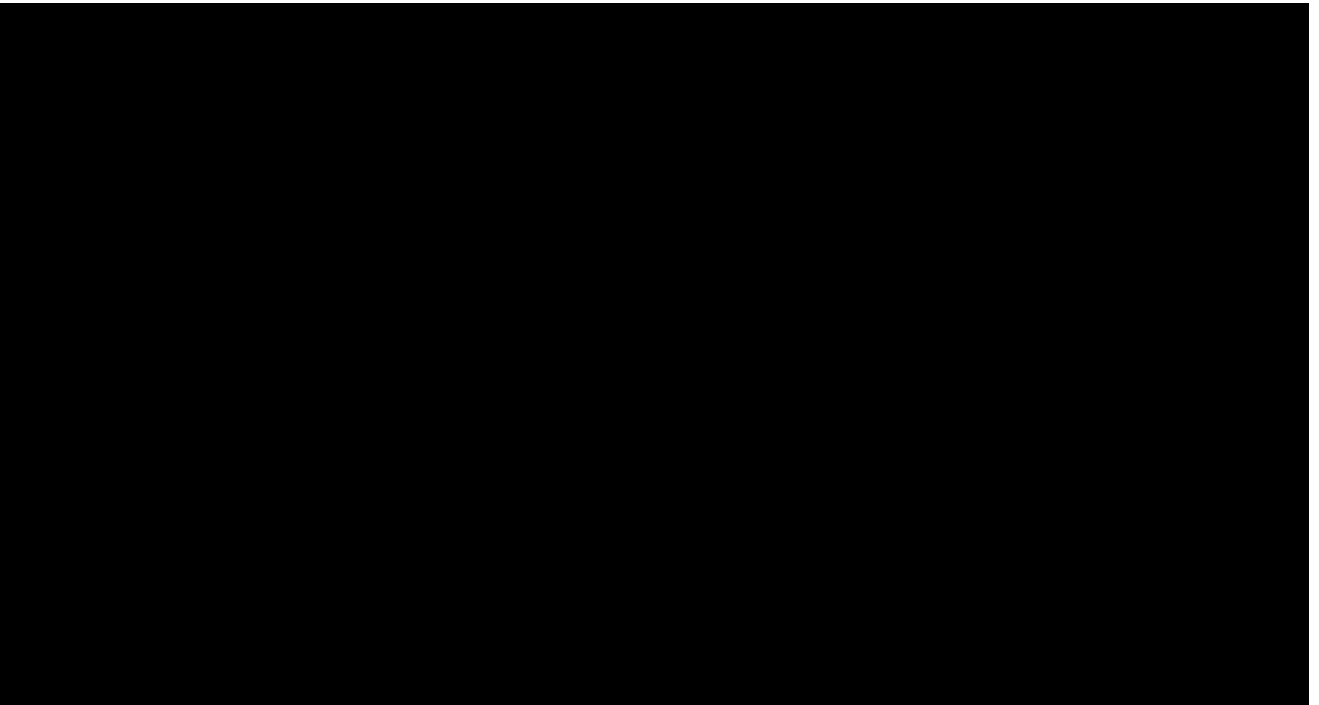
a. SM Line was contractually bound to use Customer Nominated Truckers for SEA shipments

SEA was the beneficiary of service contracts and service agreements entered into by its affiliates [REDACTED] and [REDACTED]. RPFF 1-4. SEA was at all times the consignee of the cargo shipped under the service contracts between SM Line and [REDACTED] and between SM Line and [REDACTED]. RPFF 5. SEA's affiliates issued requests for bids for the service contracts and agreements titled "Maritime transport contract quotation guide." RPFF 25. SEA cargo was shipped pursuant to these agreements and SM Line was awarded the service contracts and agreements pursuant to bidding on those requests.² RX_00023309; RPFF 25-27. One of the conditions in the bidding documents that SM Line had to comply with was that SM Line's customer had the right or ability to designate the motor carrier to be used to provide the inland transportation. RPFF 25. In these circumstances, the motor carrier is often referred to as a customer-nominated trucker or "CNT." See *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Service Agreement*, FMC Dkt. 1966(I), Order Affirming the Initial Decision at 2 (Dec. 29, 2022) (identifying a preferred trucker, or "CNT" here, as a designated trucker to be used for a shipper's cargo under an agreement with the ocean carrier); See also *Lincoln Transportation*

² SM Line bills of lading for the SEA would contain the reference to the service contracts by including the identification number of the service contract in the freight portion. For example, in the bottom left of CX_04513, in the "FREIGHT AND CHARGES" box it can be read "OFT AEF210101" which is a reference to the rates contained in AEF 210101 agreement.

Servs., Inc. v. CMA CGM (Am.), LLC, No. 15-9234 DDP-RAO, 2018 WL 501527, at *1 (C.D. Cal. Jan. 18, 2018), *aff'd sub nom. Lincoln Transportation Servs., Inc. v. CMA CGM Am., LLC*, 772 F. App'x 593 (9th Cir. 2019).

Cargo moves that used CNTs were different from standard door terms in which SM Line selected the motor carrier. RPFF 10. This distinction was acknowledged by SEA who trained its employees with a document titled “Introduction to LPS Direct Ship Operation.” (“SEA CNT Manual”). CPFF 21; RPFF 12.³



SEA’s CNT Manual outlines how a CNT allows SEA’s “[REDACTED]” and allows SEA to “[REDACTED]” CPFF 21; RPFF 32. Additionally, the instructions that SEA would issue to CNTs would differentiate between the responsibilities of the shipping line when it came to actions of CNTs and those of traditional “house truckers.” RPFF 53. Most importantly, the document

³ This is a graphic table that is taken directly from SEA’s CNT Manual and shows how SEA themselves addressed the differences between house truckers and CNTs.

directly defines CNT as: [REDACTED]

[REDACTED]”. CPFF21, (emphasis added). SEA’s practice was to approve all of the invoices issued by SM Line that related by CNT shipments, but none of those that related to house truckers. RPFF 98, 99.

SM Line was required to use CNTs in shipments involving SEA cargo. RPFF 33. The record is riddled with examples in which SEA employees impart directives and otherwise exercise control over Samsung’s CNTs to handle the delivery of SEA cargo from the port to the end destination. RPFF 27, 28, 34. When SM Line proposed using alternative truckers, SEA raised questions and pressured SM Line to use SEA’s CNT. RPFF 35.

b. SEA was in control of the CNTs and SM Line was acting as an agent for SEA in dealing with the CNTs.

“Agency is the fiduciary relationship that arises when one person (a ‘principal’) manifests assent to another person (an ‘agent’) that the agent shall act on the principal's behalf and subject to the principal's control, and the agent manifests assent or otherwise consents so to act.” *Andra Grp., LP v. Victoria's Secret Stores, L.L.C.*, 6 F.4th 1283, 1287–88 (Fed. Cir. 2021) quoting the Restatement (Third) of Agency § 1.01 (Am. L. Inst. 2006).

SM Line submits that the relationship between SEA and the SM Line satisfied the elements required to create an agency relationship with respect to the appointment of CNTs.

The evidence shows that SEA had the ultimate authority and control over the choice of which truckers to use and which not to use when delivering SEA cargo to its customers using CNTs. RPFF 54, 55, 56. This included power by SEA to request SM Line to remove a CNT from being used for a specific route altogether for reasons such as “loyalty.” CPFF 48; CPFF 60; RPFF 56. On multiple occasions SEA directly issued detailed instructions to its CNTs

related to the delivery of the containers, bypassing its agent SM Line. RPFF 48. These instructions would include details on how the CNTs should perform the delivery to SEA's costumers. RPFF 49, 51. SEA would also instruct the CNTs to communicate with SEA directly in the event of an issue or in the event of rescheduling of a load, as well as to provide daily reports to SEA. RPFF 50, 51, 52. In other words, SEA, and not SM Line, was in charge of deciding which trucker would work and which wouldn't on any given SEA shipment arranged on a CNT basis. When SM Line attempted to use truckers other than SEA's CNTs, SEA refused and imposed its own choice. RPFF 35. The level of control exercised by SEA is entirely in line with their own definition of CNT as their own "[REDACTED]."

Additionally, SEA entered into an agreement titled “[REDACTED]” with SM Line regarding the use of CNTs, (“CNT Agreement”) CX_004545 – 46. The CNT Agreement spells out that SM Line merely acted as an agent for SEA for purposes of arranging the trucking. The specific portion of the agreement stated that: “[REDACTED]”

[REDACTED]

[REDACTED]

[REDACTED].” CX 004969.

SEA seems to dispute that the CNT Agreement constituted a valid contract. To be sure, the document is a document signed by Mr. Kim on behalf of SEA on a form by SM Line that defines itself as an agreement. RPFF 20; CX_004969. The four corners of the document indicate without any ambiguity that the document constitutes the intention of SEA to be bound by the conditions set by SM Line. That is all that is required to have a valid contract as, surely, SEA is not pointing to the lack of SM Line's signature to suggest that the document is not

binding. See as an example *Davis v. Winfield*, 664 A.2d 836, 838 (D.C. 1995). SM Line submits that the document does not contain any indication of an end date. Contracts that are silent with respect to their end date will not be considered as lasting in perpetuity but they will still be considered valid for a reasonable time. *CNH Indus. N.V. v. Reese*, 583 U.S. 133, 136, 138 S. Ct. 761, 763–64, 200 L. Ed. 2d 1 (2018). Courts have held that sixteen years is a perfectly reasonable time for the duration of a contract without end date. *Sanchez v. Dep't of Veterans Affs.*, 949 F.3d 734, 738 (Fed. Cir. 2020). SM Line submits that the CNT Agreement is indeed a valid contract between SEA and SM Line that defines the roles of the two parties with respect to the choice and management of CNTs, that that contract was never terminated and, therefore, it is still, and will still be valid for whatever reasonable time the ALJ determines it to be.

Lastly, the same provision indicating that SM Line would act as agent for the shipper or consignee when dealing with CNTs was also present in the SM Line tariff as filed with the Federal Maritime Commission. RPFF 36. The Tariff was publicly available and was incorporated into the terms and conditions of SM Line sea waybills. RPFF 38.

During the Relevant Time Period, the SEA team dealing with inbound shipments was understaffed and working overtime. CX_002972. The team had only three people in operations, two extra documentations and one senior manager to handle a number of shipments ranging between hundreds and thousands per week. CX_002964. Once the team got overwhelmed, they failed to provide timely instructions to their nominated truckers. SM Line issued demurrage and detention charges in compliance with its tariffs and with the contractual agreements with SEA to incentivize SEA to collect the cargo during the allotted free time and ensure a swift circulation of the equipment.

2. SEA failed to carry its burden of proof of showing that SM Line imposed unreasonable charges on SEA.

It is a fundamental principle of any legal system that a claimant must prove the circumstances of fact that constitute the basis of the claim. This general principle applies to all proceedings governed by the requirements of the Administrative Procedure Act, which include proceedings instituted pursuant to formal complaints presented under 46 USC §41301 such as the one at hand. 46 C.F.R. § 502.203.

In other words, SEA had the burden of proving that they were entitled to reparations. *Kobel v. Hapag-Lloyd A.G.*, 33 S.R.R. 594, 597 (ALJ 2014). SEA is clearly aware of this burden, as they cite the standard on page 14 of their own brief: “Claimant ‘must prove with ‘competent evidence’ that [he] sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 187 (FMC 2001) (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, 25 S.R.R. 1213, 1230 (FMC 1990)).” SEA, however, appears to ignore that the FMC Office of Administrative Judges has interpreted this requirement to mean that the Claimant has the burden to prove by a preponderance of the evidence that *all* of the charges were unreasonable. *Hapag-Lloyd, A.g. and Hapag-Lloyd (America) LLC-possible Violations of 46 U.S.C. S 41102(c)*, 2022 WL 1239377, at *2. SEA is certainly well aware of this decision as they cite to it in more than one instance in their brief for various purposes, but they somewhat fail to discuss the issue of burden of proof.

In the *Hapag-Lloyd* case, the Chief Administrative Law Judge made it clear that “*all of the charges*” meant each one of them and for each day in which the unreasonable charges were allegedly levied. *Hapag-Lloyd, A.g. and Hapag-Lloyd (America) LLC*, at 27. Judge Wirth

ultimately held that only those charges that were individually shown to be unreasonable by specific evidence were susceptible to be the basis for penalties, and not any other charges claimed by the Complainant. In dicta, Judge Wirth made sure to warn future complainants that proceedings “would benefit from a greater focus on the specific shipments. So, for example, rather than just listing invoice numbers, it would be helpful to identify who handled the shipments, the dates free time ended and detention was charged, the amounts invoiced, etc.” *Id.*

SEA’s brief and PFFs do not include a single shipment that SEA can prove resulted in unreasonable charges being issued by SM Line to SEA. This should not surprise the Presiding Officer, as SEA simply decided to ignore that entire portion of their burden of proof.

SEA even hired an expert for the purpose of offering an opinion “[REDACTED]
[REDACTED]
[REDACTED]” and that same expert testified that he did not review any of those shipments on a case-by-case basis because that was not part of his assignment. CX_004328; CX_004067.

SEA plainly decided to disregard both the precedent set by the *Hapag-Lloyd* decision and the explicit warning by Judge Wirth. Despite alleging that SM Line’s practices and procedures violated the Shipping Act with respect to “over 18,000 demurrage and detention (D&D) charges”, SEA did not provide specific evidence supporting their claim for a single individual shipment.

Rather than going through the work of actually proving their case, SEA fruitlessly attempts to rely on a number of illusory arguments to carry their entire case:

- a. A document that was prepared by SM Line within a week from receiving notice of the Complaint with limited information at the disposal of the drafter at that time is supposed to prove that *all* the charges paid by SEA to SM Line were unreasonable;
- b. A proposed plan dated two months before the end of the reparation period, that an SM Line employee prepared without instructions from management and that was rejected from his superiors when submitted is supposed to prove that every single one of the charges that SEA paid to SM Line violated the Incentive Principle;
- c. An argument for spoliation of evidence in which SEA failed to show that such evidence existed, that it was destroyed with intent by Respondents, and that the evidence, if it existed, would have been in favor of SEA.
- d. The puzzling statement that SM Line had no procedure to address demurrage and detention disputes contained in the same section in which SEA proceeds to describe SM Line's dispute resolution practice. Additionally, SEA has not shown a single instance in which they disputed a demurrage or detention charge with SM Line and the charge in question was not waived.
- e. The contention that six (6) invoices, among the hundreds of invoices sent from SM Line to SEA, did not contain the information required under 46 U.S.C. § 41104(a)(15).

For the reasons set forth *infra*, far from being the catch-all cure of all of SEA's evidentiary woes that SEA purports them to be, each of the pieces of "evidence" and arguments listed above are nothing but snake oil and should be disregarded by the Court.

a) The Stress Test Summary Spreadsheet

SEA repeatedly mentions a document that was prepared by SM Line in anticipation of litigation and that contains an initial breakdown of the amounts paid by SEA to SM Line in the

period between 2020 and 2022. CX_004714. As it is properly recognized by SEA, this document was created “[j]ust a mere week after SEA filed its Complaint.” SEA Brief, p. 3. SEA also correctly points out that the document was incomplete. SEA Brief, p. 4. Where SEA’s unusual streak of being correct stops, however, is when they attempt to give a reason as to the reason the document is incomplete. While SEA offers the unsubstantiated speculation that SM Line stopped its analysis because of what SEA believes the data was communicating, the reality is quite different. The document in question was a “stress test” whose creation was requested by SM Line’s manager, Mr. K. K. Choi, and it was based only “on the emails that were available to [SM Line] without [SM Line] confirming the details.” K.K. Dep. Tr. p. 252, line 17, 253, line 3. The same K.K. Choi, during the deposition explained that he couldn’t speak as to the accuracy of that document. K.K. Dep. Tr. p. 253, lines 10-11. SM Line then spent weeks gathering documents and communications relative to the allegations made by SEA in the Complaint and provided the results of its searches to SEA in compliance with its discovery obligations.

That Mr. Choi couldn’t tell whether the “stress test” was accurate should not come as a surprise to anyone given how soon after the filing of the Complaint the document was generated. As a comparison, SEA has had over a year of time and over 53,000 documents produced by SM Line in this proceeding, and yet they still haven’t pointed to any evidence that any specific charge SEA paid to SM Line was unreasonable, nor that SM Line refused to waive such charge upon request by SEA.

Additionally, the “stress test” simply does not support what SEA is claiming. While it is true that the spreadsheet identifies a limited number of charges that were clearly tied to Samsung’s operational issues, the bulk of the charges were classified under categories that

cannot be interpreted as being admissions by SM Line of anything. These categories include “No Explanation From Samsung,” “CNT arranged late,” “Warehouse Issue” and even “No Reply”. CX_004714. For SEA to take the data relative to these categories and considered it an admission by SM Line that the charges paid by SEA were unreasonable is disingenuous. SM Line submits that the probative value of the “stress test” document is non-existent, in part due to the timing and circumstances in which it was created. Given the vague and incomplete nature of the document, however, it definitely cannot bear the weight that SEA is assigning to it--that of being the only evidence that all of the charges that SEA paid to SM Line or to third-parties for hundreds of shipments per year over the course of three years are unreasonable and are subject to restitution.

b) The 2022 Dem/Det Management Improvement Plan Report did not reflect SM Line’s policy in the Relevant Period.

The Demurrage and Detention Management Improvement Plan dated October 26, 2022 (“Plan”) was created by SEA employee Mr. S. H. Kim and contained a proposal to SM Line’s management on how to address demurrage and detention after the entry into force of OSRA 2022.

Mr. Kim testified that his goal with the Plan was to increase the speed with which cargo was moving, improve the demurrage and detention system in the US and, with that, increase profitability for the company. CX_000676-000677. Mr. Kim explained that he had just joined the logistics team in June of the same year and was looking to make a good impression with management. CX_000672; CX_000682-000683. Ultimately, when he presented the Plan to Mr. Lee, his supervisor at the time, Mr. Lee rejected it and stated that Mr. Kim’s Plan did not match the assignment and that the result indicated in the Plan was not desirable. CX_000683.

Mr. Kim testified that he did not share the Plan with anyone else within SM Line and that, after Mr. Lee rejected it, the Plan was never enacted. CX_000684; CX_000691.

The Plan contains the statement that SM Line seeks the collection of all billable amounts. CX_004744. Underneath that statement, there is a graphic table containing a description of what Mr. Kim's understanding of SM Line's objectives in collecting demurrage and detention were. SEA deposed 14 witnesses among current and former SM Line employees and there was not a single one of them that agreed with Mr. Kim's interpretation of SM Line's goals in collecting demurrage and detention. On the contrary, when asked whether he agreed with the document, Mr. K. K. Choi, in his capacity as corporate representative for SM Line, testified that he disagreed with it and, especially, with the characterization of what the actual internal goals of SM Line were with respect to demurrage and detention. CX_000135-000136. Mr. Kim, in what perhaps can be considered colorful language, attempted to explain that he made mistakes in the report in an effort to impress his superiors. CX_000695-000697.

The subjective intentions of Mr. Kim do not matter for the purpose of this dispute. Multiple witnesses testified that SM Line's stated and actual goal in charging demurrage and detention during the Relevant Time Period was to promote the swift movement of cargo by ensuring that the containers are returned as quickly as possible. CX_000108; CX_000441-000442; CX_000631; CX_000677; Hung-Yong Hung, p. 65:8-15; C. Solarez, p.82:13-83:1.

Ultimately, the demurrage and detention charges issued to SEA were levied by SM Line's office in Chandler (AZ) and both Mr. K. K. Choi, the head of the Chandler office, and Christopher Solarez, who was responsible to manage the equipment, agreed that SM Line's goal was to ensure that the containers were returned quickly to maintain the equipment flow. C. Solarez, p. 83:7-13.

With respect to determining the reasonableness of demurrage and detention practices, the Commission identified freight fluidity as the primary, albeit not the exclusive, purpose of demurrage and detention. Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 FR 29638-01, 29652. The testimonies of all of SM Line's witnesses that were asked about SM Line's purpose in collecting demurrage and detention confirm that SM Line's actions and goals fall entirely within the boundaries delineated by the Interpretative Rule.

Mr. Kim's individual attempt to ingratiate management with an aggressive and provocative strategy cannot constitute a sufficient basis for SEA to recover charges lawfully issued by SM Line, voluntarily paid by SEA and not contested by SEA over the course of three years.

c) SEA's attempt to invert the burden of proof by arguing spoliation of evidence fails

In the section of their brief dedicated to the issue of the burden of proof, SEA argues that "SM Line should be barred from arguing that SEA must affirmatively show evidence of specific performance failures that were a cause of, or contributed to, the underlying challenged charges." SEA's Brief, p. 15. The only reason that SEA sets forth as justification for requesting the Presiding Officer to subvert a baseline rule that the Plaintiff must prove their case is an allegation of destruction of "critically relevant emails" to and from unspecified "key knowledgeable D&D decision makers at SM Line's Korea HQ." While the reasons for which SEA's spoliation argument fail are exposed in detail in SM Line's Opposition to SEA's Motion to Compel and For Sanctions [Docket Number 84], by way of summary, SM Line submits that SM Line had a long-standing email retention policy pursuant to which e-mails were deleted after 90 days. SEA has not shown that SM Line was under a duty to preserve evidence prior to

the filing of the Complaint and the Complaint was filed in April of 2019, which is more than 90 days after the end of the Relevant Time Period. SM Line witnesses and SM Line Demurrage and Detention Management Procedure (“D&D Manual and Procedure”) made it clear that SM Line’s employees in Korea would only get involved with discounts, waivers, or inactivation of demurrage and detention charges if a request for a discount, waiver, or inactivation was advanced by the costumer. Absent such request by the costumer, the charges were issued and handled by SM Line’s local office in Chandler. Despite knowing of the existence of the possibility of requesting a waiver or a discount, SEA has not provided any evidence of ever requesting one. As such, there were no relevant communications to and from those unspecified “key knowledgeable D&D decision makers at SM Line’s Korea HQ” for SEA to argue spoliation about. Once more, SEA has failed to satisfy its burden of proof, and, once more, SEA is asking the Presiding Officer to carry their torch [and their burden of proof] for them.

d) SM Line’s charges were reasonable and SM Line had a reasonable dispute resolution process which SEA was aware but decided not to take advantage of.

SM Line had written dispute resolution guidelines pursuant to which SM Line handled detention and demurrage disputes on a case-by-case basis. CPFF 236; CX_0004607-00035. SM Line employees received training on how to implement the guidelines. CPFF 236. SM Line’s guidelines on dispute resolution were contained in the D&D Management Procedure that SM Line employees testified being familiar with. [CX_001111-001112; CX_001695-001696; CX_001337; CX_0004607-00035]. According to the D&D Manual and Procedure, SM Line’s regional office in Chandler had authority to approve discounts on demurrage and detention up to \$████ and later \$████. Requests for larger amounts were of competence of SM Line headquarter office in Korea. CX_004630-004632. SEA was on notice of the availability

of the dispute resolution system as the invoices themselves displayed a link to a page on SM Line's website containing instructions on how to dispute demurrage and detention charges, as well as the email addresses to whom said disputes had to be communicated. CPFF 228. Nonetheless, SEA consistently approved SM Line's invoices. RPFF 98.

The mere fact that SEA decided not to take advantage of such dispute mechanism does not equate to it not existing or not being sufficient.

SM Line's policy was to waive or refund demurrage and/or detention when incurred due to act or omission of SM LINE. RX_00089. This was in accordance with SM Line's policy. RX_00090. SM Line also unilaterally waived approximately [REDACTED] dollars' worth of detention and demurrage charges during the Relevant Time Period. CPFF 235. During the Relevant Time Period, SM Line implemented a "stop clock" pursuant to which they did not bill demurrage and detention charges for [REDACTED] days at any given port or terminal. The stop clock policy was applied to all containers, including those part of SEA shipments. This resulted in [REDACTED] dollars of demurrage and detention charges that SM Line did not bill. CX_000104; RX_00086, In addition to this general "stop clock" policy, during the same period SM Line provided an additional [REDACTED] days' worth of "stop-clock" just to the benefit of SEA which resulted in additional [REDACTED] dollars of demurrage and detention charges that were not billed to SEA. RX_00087.

In light of the above, the Presiding Officer should find that SEA did not satisfy its burden of proof to show that SM Line's practice and procedures with respect to the dispute resolution process or SM Line's practices and procedures in refusing to waive demurrage and detention were unreasonable.

e) SM Line's invoice are substantially compliant with 46 U.S.C. § 41104(a)(15).

SEA's PFF No. 227 alleges that six invoices do not conform to the requirements set by 46 U.S.C. § 41104(a)(15) as they were lacking the mandatory minimum information required. The actual invoices speak for themselves and SM Line does not dispute that they lack the information that the statute requires today. SM Line submits that said invoices were issued during the transition period, that those invoices were not paid by SEA and that SM Line ultimately wrote those invoices off. CPFF 227.

SM Line submits that, according to SEA's brief, SM Line would have billed approximately 18,000 demurrage and detention charges (SM Line respectfully submits that the actual number of invoices collected by SM Line is closer to 1,300) and all but the six referred to in CPFF 227 were beyond reproach according to SEA.

CONCLUSION

For the foregoing reasons, the Presiding Officer should conclude that SM Line did not violate the Shipping Act, that SEA has failed to satisfy its burden of proof that any damages incurred by SEA were proximately caused by SM Line, and that the amount of any such damages was not sufficiently proven. The Presiding Officer should therefore dismiss the Complaint with prejudice and discontinue this proceeding.

/s/Wook Chung

Wook Chung

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Dated: May 15, 2024

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 15th day of May 2024, the foregoing document was served via electronic mail on:

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Office of the Secretary
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